

Terms and Conditions

ACCEPTANCE OF ENTIRE AGREEMENT - By Acceptance of this Purchase Order ("PO"), Supplier unqualifiedly and unconditionally agrees to the terms and conditions of this PO and related specifications ("Specifications") to the extent such Specifications are supplemental to, consistent with and necessarily anticipated by this PO; provided, however, that if Supplier and Purchaser have a currently effective Agreement governing purchases ("Purchase Agreement"), then Supplier's Acceptance shall be subject to the terms and conditions of the Purchase Agreement as supplemented by this PO. The following acts constitute Supplier's Acceptance of this PO and all terms and conditions herein: (a) Supplier's execution and return of an acknowledgement of this PO; (b) Supplier's commencement of performance pursuant to this PO; (c) Supplier's delivery of any of the Products ordered; or (d) Supplier's acceptance of payment by Purchaser hereunder. Whenever a specific provision of this PO conflicts with a specific provision of the Purchase Agreement, the specific provision of the Purchase Agreement shall control. The PO, together with the Purchase Agreement (if any), constitutes the entire agreement between the parties. This PO may not be modified or rescinded except by an amendment signed by both parties. This PO shall govern the purchase of any and all software, software licenses (including software incorporated into equipment, all future releases, patches, fixes, corrections, enhancements, improvements, documentation and updates relating to such software), equipment, hardware, materials and/or services (individually and collectively referred to as "Product"). Purchaser specifically objects to and rejects any and all pre-printed terms and conditions contained in Supplier's acceptance, other documentation or counterproposal (collectively "Counterproposal") and replaces such Counterproposal with the terms and conditions contained herein. Neither commencement of performance, nor Purchaser's Acceptance, nor payment by Purchaser, nor any other act or action or any combination thereof, shall ever constitute acceptance by Purchaser of any Counterproposal submitted by Supplier.

1. **TITLE** - Title to and risk of loss for any Product acquired by Purchaser hereunder shall vest in Purchaser following delivery to the specified location and upon Purchaser's inspection and Acceptance of Product (i.e., when the Product has met Purchaser's Acceptance criteria) as being ready for use.

2. **LICENSE** - (a) Supplier grants to Purchaser a nonexclusive, irrevocable, perpetual enterprise license (unless a different period and/or license is set forth on this PO) to use (including remote access), to modify (including the preparation of derivative works) and to copy (for all purposes of modification, archival, disaster recovery backup and year 2000 testing) the Product ordered hereunder. With each license of the Product ordered hereunder, Supplier shall provide Purchaser documentation which is provided by Supplier to any of its other customers for the Product, and, at a minimum, as is reasonably necessary to enable Purchaser adequately to use such Product. Documentation shall comply with commonly accepted industry standards with respect to content, size and legibility. Purchaser shall have the right to reproduce all documentation including all machine-readable documentation for the Product, provided that such reproduction is made solely for Purchaser's use. Any such reproductions shall include any copyright or similar proprietary notices contained on the items being reproduced.

(b) **New Releases**: If Supplier develops new versions of any Product to be provided as a generic release common to all users of such Product, Supplier shall supply the new version at the same charge as charged to other users (including any applicable discounts). Supplier shall continue to support the replaced version for a minimum period of two (2) years after issuance of the new version.

(c) **Source Code and Documentation**: In the event Supplier becomes insolvent, ceases to carry on business on a regular basis or fails to perform its maintenance obligations herein, Supplier shall immediately furnish to Purchaser the latest version of the Product source code, operating and design documentation, training material and any other necessary information to enable Purchaser to maintain and enhance such Product or to contract with others for such work.

(d) **Relocation of Product** (applicable only to a site license): Purchaser may redesignate the location at which the Product will be used, and shall notify Supplier of the new location and the effective date of the relocation. Concurrent operation of the Product at a second location for a period not to exceed ninety (90) days to achieve uninterrupted operation and orderly cut over shall not require an additional license. The license granted under a PO for a designated site may be transferred (i) to a back-up site if the data processing system at the designated site is inoperative due to: malfunction, preventative maintenance, engineering changes or changes in features or model, with such transfer in effect until the data processing system is restored to operative status and processing of the data, already in progress at the back-up site, has been completed; or (ii) to another site for assembly or compilation of the Product if assembly or compilation at the designated site cannot be accomplished on the data processing system.

3. **CHARGES AND PAYMENT** - Purchaser shall pay Supplier the following uncontested charges:

(a) The charge for the Product is as set forth on the front of this PO, exclusive of taxes and transportation charges. Once Acceptance of the Product by Purchaser has occurred, then payment will be due within forty-five (45) days of receipt of invoice.

(b) The maintenance charge as provided herein is not subject to increase during the first twelve (12) months following the commencement of the maintenance. The maintenance charge is subject to change by Supplier following the end of the first twelve-month (12) period upon ninety (90) days' prior written notice; provided, however, that such maintenance charge shall not be increased more than once in any twelve-month (12) period and in no event shall any increase exceed three percent (3%) of the maintenance charge applicable to the preceding year.

(c) The method of payment shall be made in accordance with the terms on the front page of this PO.

4. **SHIPPING, BILLING AND DELIVERY** - (a) Shipments shall be made in accordance with shipping instructions, and all packages and supporting documents will bear the PO number. Packing shall be furnished at no additional charge. Each shipment shall contain a packing memorandum. When a shipment contains more than one package, the one containing the memorandum will be conspicuously identified. Supplier shall (i) render invoices in duplicate, along with Purchaser's return copy, showing order number, and through routing and weight, within twenty-four (24) hours after shipment; (ii) render separate invoices for each shipment order; and (iii) forward

bills of lading and shipping notices with Supplier's invoice, and otherwise mail bills and notices to Purchaser promptly. Shipping and routing instructions may be altered as mutually agreed without a writing.

(b) Transportation shall be prepaid by Supplier and reimbursed by Purchaser, provided however that it is at the lowest ground transportation rate, unless separate delivery instructions are set forth in this PO. Supplier shall deliver the Product in sufficient time to meet the required delivery date. Purchaser may delay the delivery of the Product by giving the Supplier notice prior to shipment. Supplier shall arrange and pay for transportation of Product required to be returned to Supplier under this Agreement.

(c) If Supplier fails to deliver to Purchaser the Product on or before the ordered delivery date, Purchaser may either cancel this PO or extend such ordered delivery date to a subsequent date. If Purchaser elects to extend the ordered delivery date, the parties agree that Purchaser will be damaged in an amount which will be difficult to determine with certainty. Therefore, Supplier agrees to pay Purchaser as a late delivery charge, not as a penalty, an amount equal to two percent (2%) of the PO for each week or part thereof of delay occurring after the ordered delivery date originally specified on this PO until either the delivery date or the date on which Purchaser cancels this PO, whichever first occurs. Such late delivery charge shall not accrue beyond twelve (12) weeks' delay.

5. **INSTALLATION, TESTING AND PURCHASER'S ACCEPTANCE** - (a) Purchaser shall have full rights of acceptance for all Products ("Acceptance") Supplier shall install the Product, perform its standard test procedures and prepare the Product for Purchaser's Acceptance testing. No Product shall be deemed to be installed until all Products required by this PO have been installed. Purchaser shall conduct Acceptance testing after Supplier has installed the Product and certified it as ready for Acceptance testing.

(b) All work may be inspected while in progress and upon completion by the appropriate employee or representative of Purchaser. All Products shall be subject to Purchaser's right of inspection and Acceptance or rejection, notwithstanding any prior payment.

(c) Supplier shall promptly remove all debris from Purchaser premises. Unless otherwise notified by Purchaser, Supplier must supply all the tools and equipment necessary for the performance of the work covered hereunder. Supplier shall immediately report damages to Purchaser's property to the Purchaser.

6. **REPRESENTATIONS AND WARRANTIES** - (a) Supplier warrants that all Products shall perform and conform to the Specifications as set forth or referenced in this PO, shall be in good working order, and shall be free from defects in design, material and workmanship. In addition, any warranties extended to Supplier by manufacturer are hereby extended to Purchaser.

(b) Supplier represents and warrants that it has good title and the right to sell/license the Product.

(c) The warranties contained in this paragraph 7 shall survive inspection, Acceptance and payment.

7. **SUPPORT AND MAINTENANCE** - During the warranty period and any subsequent maintenance period(s), Supplier shall provide maintenance described herein, including preventative maintenance, error corrections, upgrades and modifications to keep and/or restore the Product in good working order in accordance with the Specifications.

Supplier shall provide Purchaser a telephone contact who can be notified for maintenance Services twenty-four (24) hours per day, seven (7) days per week. Within one (1) hour of notification, a trained, knowledgeable, technically qualified Supplier representative will respond. Such response will serve to acknowledge receipt of notification and to obtain a verbal description of the nature of the need for maintenance services. Supplier shall correct any and all errors in the Product as follows: Supplier shall continue error correction activity on a twenty-four (24) hour basis until a permanent correction is made. Supplier shall keep a complement of spare parts in order to make repairs. Purchaser shall provide Supplier the data required to analyze properly the error condition and to provide the proper resolution. Supplier shall notify all Purchaser locations receiving Product of the reported error(s), and the error corrections will be transmitted by Supplier to all such locations. Unless requested by Purchaser, Supplier shall introduce maintenance releases to Purchaser no more than once per calendar quarter. Such maintenance releases shall contain program code changes as determined by the previous quarter error corrections reported by any licensee or discovered by Supplier and shall include revised documentation necessitated by correction of such error(s). Maintenance releases shall include all improvements and updates relating to the Product which are developed by Supplier. At least thirty (30) days prior to such maintenance release, Supplier shall notify Purchaser of the expected date of release and the error corrections or improvements to be included.

8. **TERMINATION** - This PO may be terminated if:

(a) Supplier violates any provision of this PO;

(b) Purchaser notifies Supplier, within twenty-four (24) hours prior to the time of delivery of the Product, of Purchaser's cancellation of this PO;

(c) Purchaser terminates the license of any Product by giving Supplier thirty (30) days' prior written notice. Termination of such license shall also automatically terminate any support or maintenance services for such Product;

(d) Purchaser terminates maintenance for Product by giving Supplier thirty (30) days' prior written notice; or

(e) Supplier terminates maintenance for Product by giving Purchaser one (1) year's prior written notice. In such event, Supplier shall furnish the latest version of Product source code, operating and design documentation, training material and any other necessary information to enable Purchaser to maintain and enhance such Product or to contract with others for such work.

9. **TAXES** - (a) All taxes, except sales and use, are the responsibility of the Supplier. Supplier shall be responsible to invoice Purchaser and remit to the appropriate government authorities all applicable sales and use taxes imposed by law, unless Purchaser provides appropriate evidence of a resale or other applicable tax exemption. Purchaser shall be responsible to reimburse Supplier for applicable sales and use taxes billed and remitted as required hereunder. Supplier must separate the Products based on state of final destination as shown on the PO. Purchaser shall not be liable for penalties or interest.

(b) If applicable, this PO is being entered into by Purchaser on behalf of the New Jersey Economic Development Authority ("Authority") for the benefit of Purchaser consisting